

Growth vs Dividend Stocks

Matching Companies to Your Goals — Lesson Explainer

The Concept

Once a company generates free cash flow, it can reinvest it (growth stocks - little/no dividend, valued on future growth) or return it directly to shareholders (dividend stocks - typically mature, stable businesses).

Dividend yield = annual dividend per share / share price. Payout ratio = dividend per share / EPS
- a low payout ratio means room to grow the dividend; near or above 100% means it may not be sustainable.

Total return = price appreciation + dividends received. Comparing only price performance between growth and dividend stocks misses half of a dividend stock's actual return.

Illustrative Example: Growth Co vs Dividend Co, One Year

Metric	Growth Co	Dividend Co
Starting Share Price	\$100.00	\$100.00
Ending Share Price	\$122.00	\$106.00
Dividends Paid That Year	\$0.00	\$4.00
Price Return	+22.0%	+6.0%
Dividend Yield	0.0%	4.0%
Total Return	+22.0%	+10.0%
Payout Ratio	0%	60%

Growth Co delivered a higher total return this year - but that alone doesn't settle which is 'better'. Dividend Co's return came with more stability and cash along the way. Both are legitimate strategies depending on goals.

5 Things to Know About Growth vs Dividend Stocks

1. Total return includes dividends, not just price - comparing only price understates dividend stocks.
2. A payout ratio near or above 100% is a sustainability flag.
3. Growth stocks are valued on the future, dividend stocks more on the present.
4. Neither category is inherently safer - dividends can be cut, growth valuations can reset.
5. This isn't strictly binary - many companies sit in between.

4 Things to Check Before Choosing Either Style

- Know your own goal - income now vs growth later.
- Check the payout ratio - little cushion if it's near/above 100%.
- Look at total return, not just yield.
- Match to your time horizon - growth needs a longer runway.

Worth knowing:

neither growth nor dividend investing is universally 'better' - they suit different goals and time horizons. Diversifying across both styles is common practice, not an admission of indecision.

Quiz — Answer the questions, then check the key on the next page

1. What does total return include that a plain price chart misses?

- A. Nothing, they're the same thing
- B. The company's revenue growth rate
- C. Dividends received along the way
- D. The company's employee headcount

2. What does a payout ratio near or above 100% suggest?

- A. The company has no dividend at all
- B. The stock is definitely a good buy
- C. The company's revenue is growing rapidly
- D. The dividend may not be sustainable if earnings dip

3. Why are growth stocks generally more sensitive to changes in growth expectations?

- A. They pay the highest dividends of any stock category
- B. They're valued mainly on future earnings, so price reacts sharply to outlook changes
- C. They never report earnings
- D. Growth stocks are immune to market swings

4. Why is neither growth nor dividend investing inherently 'safer'?

- A. A 'safe' dividend can be cut, and a growth stock's valuation can reset - both carry risk
- B. Dividend stocks can never lose value
- C. Growth stocks are guaranteed to outperform over any period
- D. Risk only applies to growth stocks

5. Why doesn't Growth Co's higher total return automatically make it the 'better' pick?

- A. Because Growth Co's numbers were fabricated
- B. Because Dividend Co technically returned more money
- C. Because which is 'better' depends on the investor's goals and time horizon
- D. Because total return doesn't apply to growth stocks

Answer Key

1. What does total return include that a plain price chart misses?

Correct answer: C. Dividends received along the way

Total return = price appreciation plus dividends - comparing only price understates dividend stocks.

2. What does a payout ratio near or above 100% suggest?

Correct answer: D. The dividend may not be sustainable if earnings dip

Most or all earnings are being paid out, leaving little cushion for a bad year.

3. Why are growth stocks generally more sensitive to changes in growth expectations?

Correct answer: B. They're valued mainly on future earnings, so price reacts sharply to outlook changes

Any shift in how investors see a growth stock's future tends to move the price more sharply.

4. Why is neither growth nor dividend investing inherently 'safer'?

Correct answer: A. A 'safe' dividend can be cut, and a growth stock's valuation can reset - both carry risk

Both styles carry real, different risks.

5. Why doesn't Growth Co's higher total return automatically make it the 'better' pick?

Correct answer: C. Because which is 'better' depends on the investor's goals and time horizon

One year's result doesn't settle which strategy fits an investor best.